

**ONTARIO SUPERIOR COURT OF JUSTICE
Small Claims Court**

B E T W E E N:

Basil Panamick

Plaintiff

) J. Iczkovitz, counsel & L. Alexander, paralegal
) (Acting for Intact Insurance, by subrogated claim)

- and -

**1532099 Ontario Ltd., O/A
Eastgate Towing and Storage**

Defendant

)
)
)
)
) G. Gentile, paralegal
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)
) **Heard: June 5, 2013, November 4, 2013,
May 27, 2014 & October 16, 2014**

Judgment

The Facts

[1] The Plaintiff, Basil Panamick, is a native of Manitoulin Island, Ontario and member of the M'Chigeeng First Nation. Mr. Panamick stated that he is a jack of all trades, including his ownership of a restaurant and running and repairing machinery. On August 20, 2010, Mr. Panamick was in the Greater Toronto Area doing work. He pulled into a Husky gas station in order to purchase diesel fuel for his 2009 three-quarter ton Dodge 3500 series pickup truck. (It was stated in evidence that the vehicle was purchased new by the Plaintiff for about \$66,000. The vehicle was only six months old with about 104,000 kilometers on it.)

[2] As fate would have it, the gas station attendant (this was not a self-service pump) inadvertently fueled the vehicle with gasoline as opposed to diesel. Very fortunately, this error was discovered prior to the Plaintiff starting the vehicle and therefore no damage was caused to the engine. As the fuel tank required draining of the gasoline, someone at the gas station called a towing service in order to take the truck to a proper facility for the work to be done.

[3] Upon receiving the call from the gas station, the Defendant sent out a tow truck. According to the Plaintiff, when the truck was being readied for the tow, he told the tow truck driver that he was carrying a heavy load and suggested that he put straps around the tires to secure it to the forks. He was told that this was not necessary.

[4] When the Plaintiff told the driver that he needed to get his truck to someone where the tank could be drained, the driver indicated that he knew of someone who could do the work. The truck was towed to the driver's friend. When the friend was asked if he ever did this kind of work before, he indicated that he did not. The Plaintiff remarked that this was basically a "backyard mechanic" and he did not want to run the risk of having someone work on truck as it was fairly new. He therefore insisted that the driver take him to a Dodge dealership to ensure that a proper job would be done. As the truck was being towed out of the yard and onto the main roadway, the truck fell off the two forks and dropped to the ground.

[5] I concur with the Plaintiff's representatives' written submissions, which states: *"Panamick's evidence remained largely unchallenged, the entirety of his cross-examination. Almost all questions were premised on the fundamental fact that the truck fell."*

[6] It is not disputed that the vehicle sustained damages. Most of the facts are actually agreed upon, except for the following:

- a. The extent (quantum) of the damages. (Were they overstated?)
- b. Whether or not the extent of the alleged damages were caused by the truck falling to the ground? and
- c. Were any of the damages on the vehicle were pre-existing?

[7] The Plaintiff was quite adamant in stating that the vehicle was not pre-damaged. He made reference to the fact that he owns four or five vehicles and looks after them "pretty good" and that he did not like his vehicles looking dented. Additionally, the Plaintiff stated that he mostly subjected the vehicle to highway driving and never drove it on "bush roads."

[8] The Plaintiff's total Claim of \$8,762.95 (without interest), is comprised of the following:

- a. Repairs completed by Ontario Chrysler: \$7,124.58;
- b. Rental vehicle: \$482.57;
- c. The return of the towing charges paid by the Plaintiff: \$155.80; and
- d. Reimbursement of Mr. Panamick's \$500 deductible under his policy.

[9] In its written submissions, the Defendant admits only to limited liability, to the extent of \$1,206.32, for a fraction of the repairs, the cost of the rental of a vehicle and the return of the towing charges.

Discussion & Findings

[10] Mike Lemak, in-house insurance claims adjuster of some 23 years with AXA Insurance, now Intact Insurance, gave evidence. I found him to be straightforward, informative and appeared well versed to be his industry standards. Mr. Lemak completed an assessment/estimate of the damages on August 23, 2010. Interestingly, this was a “virtual estimate” with his not attending in person at the body shop, but by receiving a written estimate and various photos from the dealership and speaking with the Plaintiff and manager of the body shop. Mr. Lemak prepared a detailed damage assessment, which he performed using the “Mitchell Estimating” software system. [It was noted that every appraisal company uses either of two computer programs: “Mitchell Estimating” or “ADP Autotex Estimating.”]

[11] When Mr. Lemak was questioned as to whether claims adjusters actually go into the field to see damaged vehicles, he remarked that virtual estimating is now quite common. Mr. Lemak made it clear that in all his years using the virtual estimating process, he has never over appraised or under appraised a vehicle.

[12] When Mr. Lemak was questioned about the extent of the repairs required, especially in light of the quality and mileage of the vehicle, that was not an issue in this case as the vehicle was less than a year old. The concern was raised by the court with respect to whether there could have been pre-existing damage to the vehicle. Mr. Lemak replied that in his opinion, the damage described was consistent with what was alleged to have taken place.

[13] Mr. Lemak commented with respect to the truck falling off the forks, he stated: “... I think if it was properly secured, it shouldn’t have fallen off the truck.”

[14] Mr. Lemak is an “in-house” adjuster; that is employed (on staff) by the Plaintiff’s insurer. I do not think that I would be remiss in stating that Mr. Lemak would be focused on getting the “best deal” for his employer. In other words (I say this with all due respect to the insurance industry), I have no doubt that a person such as Mr. Lemak would have two purposes in mind: a. to get the repair done and b. get it done with limiting liability to his employer. Therefore, I am fairly confident in accepting the strength and veracity of Mr. Lemak’s evidence.

[15] It is worth noting that the Plaintiff had what is known as an “Endorsement 43” attached to his policy, available at additional cost and providing that replacement cost coverage will be paid

out, without factoring in depreciation. Although in this case, because the vehicle was fairly new, this really did not figure in.

[16] Mr. Lemak's appraisal of damages came to \$7,124.59, while Ontario Chrysler's invoice came in at \$7,624.58. For any insurance company, they will limit their payout to the bottom line on the adjuster's appraised value.

[17] Mehdi Shirazi, owner of the Defendant corporation gave evidence. Shirazi was not present at the time that the Plaintiff's vehicle was hooked to the tow truck. In fact, the only two people present during this entire "ordeal" that came before the court, were Mr. Panamick and the tow truck driver, Mr. Elias. Although Mr. Shirazi gave very theoretical and hypothetical evidence as to what may or may not have taken place, he did not see how the vehicle in question actually fell, nor was he in a position to inspect either any pre-existent or post-incident damages. His knowledge came from his driver.

[18] Mehdi Shirazi also owns and operates a body shop, having done so for the past 13 years. I have no doubt that he has familiarity with vehicle appraisals and accident claims. Unfortunately, most, if not all of his evidence was hearsay as to how the unfortunate incident took place. Whether Mr. Shirazi is or is not an expert in his field (he was never qualified as such), as I am of the view that this really was not the issue. He did have much to say and the repairs that were approved and the manner in which Mr. Lemak conducted his assessment.

[19] On October 16, 2014, in conjunction with discussion with the parties, the Defendant was requested to bring what appeared to be a similar pickup truck and the tow truck to the courthouse. The court moved outdoors, into the parking lot, for an "off the record" demonstration/viewing given by the Elias Joseph Elias, the actual tow truck driver and Mr. Shirazi. One important aspect of that viewing, was the presence and explanation of two safety chains, which Mr. Elias advised are always used to secure vehicles in tow. This of course is contrary to the evidence given by Mr. Panamick, when he stated that he questioned Mr. Elias why he was not securing his vehicle with straps for security measures.

[20] On October 16, 2014, Elias Joseph Elias, was called on behalf of the Defendant. He never gave evidence with respect to any pre-existing damage to the Plaintiff's vehicle. As well, while he first alleged that the tire "slipped through the spoon," he later contradicted himself, by stating that when the tow truck turned, the right tire of the Plaintiff's truck [which was sitting in the spoon] also turned causing it to become dislodged from the spoon. The result was that a

void was left where the tire should be sitting causing it [the spoon] to slip and damage the fender behind the wheel.

[21] The following comments by the Plaintiff was most appropriately stated:

The Defendant's driver stated that the wheel turned when he was "leaving a parking lot" and when his "tow truck was not in motion." There is no explanation offered to the Court by the defence as to how the right tire would become dislodged from the spoon, how one tire and not both would become dislodged when the tow truck turned, or how the tire(s) could become dislodged while the truck was not in motion. It is obvious from the position of the fork mechanism that is placed under the truck, that if the tires had slipped through the spoon, or disengaged in some other way, the bar on the fork mechanism would have damaged the front fascia (brush guard) when the vehicle dropped. So even if the defence theory prevails, there is still consistency with the Plaintiff's damages. Panamick gave evidence that no safety chains were put on the tires, despite his request. Conversely, Shirazi, who was not present on the date of loss described the placement of safety chains. Shirazi was not in a position to give this evidence. He has no independent knowledge.

[22] The Defendant's representative was partially correct, when he states in his written submissions:

It is only in assessing the veracity, accuracy and consistency in the testimony of these two witnesses (referring to Panamick and Shirazi) that His Honour can determine the extent of the quantum of the Plaintiff's claim.

[23] I think that the evidence of Mr. Lemak is equally important, as I found him to be quite impressive. And again, I cannot overemphasize enough, that being an employee of the insurer, I would think that Mr. Lemak would be very cautious (even stingy) in authorizing a payout of his company's money, without being discerning of the situation and circumstances.

[24] Based upon the evidence given and my observation of the parties as they gave evidence in this trial, I have no reason to disbelieve the Plaintiff's evidence in his claim for damages that he was either misrepresenting the truth or in fact either intentionally or unintentionally committing a fraud. This was raised by the Defendant and specifically with Mr. Lemak, who insisted that the damages appear to be consistent with what happened; that is with the truck falling off the arms/forks.

[25] Having regard to and taking into account the parties' pleadings; the evidence given at trial and the having read the very competently articulated written submissions of the parties' representatives, I am satisfied, beyond a preponderance of evidence, that the Plaintiff has proven his case and therefore judgment will follow.

Judgment

[26] The Defendant shall pay to the Plaintiff, the sum of \$8,262.95, plus pre-judgment interest as prescribed by the *Courts of Justice Act*.

[27] If the parties are unable to agree upon the disposition of costs, they may provide written submissions of no greater than five pages each, excluding any bills of costs and any possible offers to settle. The Plaintiff shall have until March 6, 2015 and the Defendant shall reply by March 20, 2015.

Released: February 23, 2015.

M. Klein, Deputy Judge